remaining assets) is higher than the initial retirement date withdrawal rate.

3. *Capital preservation rule*: Spending is cut 10 percent if the current withdrawal rate rises to 20 percent more than its initial level and the planning age is still more than fifteen years away. So for a thirty-year horizon, the rule only applies for the first fifteen years of retirement. For example, if the initial withdrawal rate is 5 percent, then a spending cut would take place whenever the current withdrawal rate exceeds 6 percent of remaining assets in the first fifteen years of retirement.

4. *Prosperity rule*: Spending is increased 10 percent in any year that the current withdrawal rate falls to 20 percent below its initial level. For example, if the initial withdrawal rate is 5 percent, a spending increase would take place whenever the current withdrawal rate falls below 4 percent of remaining assets.

The modern version of their rules drops Guyton’s original inflation rule, which capped spending increases at 6 percent when inflation exceeded that amount. It also adjusts the withdrawal rule to prevent spending freezes when the current withdrawal rate falls below the initial withdrawal rate.

Exhibit 6.12 illustrates the historical performance of the withdrawal, capital preservation, and prosperity rules using a 50/50 asset allocation.

Exhibit 6.12

Time Path of Real Spending and Wealth

Guyton and Klinger’s Decision Rules

For 4% Initial Spending Rate, 50/50 Asset Allocation, Rolling 30-Year Retirements

Using SBBI Data, 1926–2016, S&P 500 and Intermediate-Term Government Bonds